ECO403 - Macroeconomics (Quiz No 2)

Question # 4 of 10 (Start time: 12:31:54 AM, 15 May 2025)

What is the slope of investment function?

Select the correct option

○	Horizontal
●	Negative
○	Positive
○	Vertical

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Question # 3 of 10 (Start time: 12:31:36 AM, 15 May 2025)

Which of the following represent the private saving?

Select the correct option

- (Y −T̄) − C
- Y + C
- T − G
- (Y −T̄) − C + T − G

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Question # 7 of 10 (Start time: 12:32:58 AM, 15 May 2025)

What determines the equilibrium in the loanable funds market?

Select the correct option

○	Nominal interest rate
○	Tax rates
○	Government spending
◉	Real interest rate

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Question # 8 of 10 (Start time: 12:33:31 AM, 15 May 2025)

According to the Fisher effect, what happens when expected inflation (πe) increases?

Select the correct option

○	The nominal interest rate decreases
○	Inflation decreases
◉	The nominal interest rate increases
○	The real interest rate decreases

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Question # 1 of 10 (Start time: 12:28:09 AM, 15 May 2025)

What does the equation M × V = P × Y represent?

Select the correct option

○	The demand for money
◉	The quantity theory of money
○	The fiscal thoery of income
○	The supply of money

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Question # 9 of 10 (Start time: 12:33:58 AM, 15 May 2025)

The theory that explains that nominal variables are separately determined from real variables is known as:

Select the correct option

○	Non-neutrality of money
◉	Classical dichotomy
○	Fisher effect
○	Keynesian hypothesis

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Question # 5 of 10 (Start time: 12:32:10 AM, 15 May 2025)

If the money supply grows faster than the real economy (Y), then:

Select the correct option

○	There is no impact on inflation
◉	Inflation will increase
○	Inflation will decrease
○	Real output will increase

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Question # 10 of 10 (Start time: 12:34:16 AM, 15 May 2025)

Which of the following best describe the Net Exports Function?

Select the correct option

◉	An inverse relation between net exports and real exchange rate
○	A positive relation between net exports and real exchange rate
○	An inverse relation between net exports and domestic interest rate
○	An inverse relation between net exports and world interest rate

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Question # 6 of 10 (Start time: 12:32:27 AM, 15 May 2025)

When a fiscal expansion takes place at home, then national savings and equilibrium real exchange rate affected in a way that:

Select the correct option

- (●) National saving decreases and real exchange rate rises
- ( ) National saving increases and real exchange rate rises
- ( ) National saving increases and real exchange rate falls
- ( ) National saving decreases and real exchange rate falls

ECO403 - Macroeconomics (Quiz No 2)

Question # 2 of 10 (Start time: 12:31:10 AM, 15 May 2025)

What will happen to net exports and net capital outflows when investment demand increases in a small open economy with perfect capital mobility?

Select the correct option

- ( ) Only net exports increases
- ( ) Only net capital outflows decrease
- (●) Both net exports and net capital outflows decrease
- ( ) Both net exports and net capital outflows increase

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